HSBC (0005.HK/HSBA.L)

3Q26 Preview: A steady quarter expected focus will be on NII outlook and buybacks

Melissa Kuang, CFA
+65-6889-2869 | melissa.kuang@gs.com
Goldman Sachs (Singapore) Pte

Chris Hallam
+44(20)7552-2958 | chris.hallam@gs.com
Goldman Sachs International

Benjamin Caven-Roberts
+44(20)7552-7066 | benjamin.d.caven-roberts@gs.com
Goldman Sachs International

Sachin Nayar
+44(20)7051-2598 | sachin.x.nayar@gs.com
Goldman Sachs International

Wayne Wang
+65-6889-2866 | wayne.q.wang@gs.com
Goldman Sachs (Singapore) Pte

HSBC will report 3Q26 results on 27th October. We expect the bank to deliver **underlying PBT of US$10.4bn**,+14% yoy /+1% qoq (2% ahead of Visible Alpha Consensus). We see Banking NII growth to remain supported by continued balance sheet expansion and a higher rate environment, while credit costs should remain broadly stable. Offsetting this, we expect some moderation in non-banking NII following stronger 2Q performance especially in CIB, where IB/DCM/ECM revenues were exceptionally robust last quarter. We model **US$0.5bn of sharebuybacks this quarter** down from the US$1.0bn announced in 2Q26, reflecting loan growth and the potential for negative OCI impact on capital given steeper yield curves. Beyond the quarter, investor focus is likely to remain on whether the higher rate environment could support an **upward revision to NII guidance** as well as on **wealth management trends,** particularly updates on Chinese cross-border regulations and any implications for wealth inflows.

We also make changes to our underlying EPS estimates of -0.7% to 0.6% for FY26–29E, reflecting a more supportive interest rate environment and stronger loan growth, offset by higher opex as we anticipate increased investment in growth initiatives and technology to support revenue expansion. As a result, our 12-month two-stage DDM TP for 0005.HK adjusts to HK$192 (from HK$193) and our TP for HSBA.L is unchanged at 1,860p. We maintain Buy ratings on 0005.HK and HSBA.L (on EMEA CL). We also introduce our 2030E and 2031E earnings.

Key call-outs for the quarter:

- **Banking NII in focus.** We expect Banking NII to increase **3% q/q**, supported by rising rates towards the end of the quarter, a higher day count and continued balance sheet growth. The outlook has become increasingly constructive following the recent Fed rate hike, with markets now anticipating more rate hikes ahead. Combined with a steeper yield curve, this should support structural hedge reinvestment yields and balance sheet repricing. We also expect loan growth to remain healthy, with Hong Kong system loan growth continuing to improve. Reflecting the more supportive rate backdrop, we raise our Banking NII forecasts by **0.3%/1%/1% for 2026-28E** and are now **up to 3% above Visible Alpha consensus**. We expect investor focus to centre on **2026 Banking NII guidance** and whether management sees scope for further upgrades given the stronger

Goldman Sachs does and seeks to do business with companies covered in its research reports. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only a single factor in making their investment decision. For Reg AC certification and other important disclosures, see the Disclosure Appendix, or go to www.gs.com/research/hedge.html. Analysts employed by non-US affiliates are not registered/qualified as research analysts with FINRA in the U.S.

知识星球：前沿信息收录
VX:FCCNN88

rate outlook and robust loan growth backdrop.

- **Non-interest income expected to moderate.** We forecast underlying non-banking NII of **US$7.2bn** (**+6% y/y, -2% q/q**), **2% ahead of Visible Alpha consensus**. We expect some moderation following the exceptionally strong 2Q performance, particularly within CIB, where IB, DCM and ECM revenues benefited from elevated market activity. Within Wealth, we expect fees to remain broadly stable q/q. HSBC has continued to highlight strong momentum in net new money flows, with limited impact from recent updates to Chinese cross-border regulations. However, given already strong activity levels in 2Q and increased market volatility towards the end of 3Q, we see scope for growth in wealth fees to remain stable sequentially.
- **Credit costs to remain stable.** We forecast a **40bp cost of credit**, versus **42bp in 2Q26**. We do not anticipate any additional overlays related to the Iran conflict. While oil prices rose during the quarter amid renewed geopolitical tensions, we believe provisions taken previously should be sufficient, leaving overall asset quality trends broadly stable.
- **Capital and shareholder returns remain a key focus.** We expect HSBC to announce a **US$0.5bn buyback** in 3Q26, down from **US$1.0bn in 2Q26**. This reflects the combined impact of continued loan growth and negative OCI effects from higher rates and steeper yield curves, which we estimate could reduce CET1 by ~**20bp**. Given management's intention to maintain CET1 around the **14% level**, we see more limited flexibility for larger capital distributions in the near term. After accounting for earnings accretion and capital impacts, we forecast **3Q26 CET1 at 13.9%**.

知识星球：前沿信息收录
更多一手投研资料扫码加微信
知识星球：前沿信息收录
VX:FCCNN88

Exhibit 1: We anticipate flattish underlying qoq PBT supported by robust NII and offset by lower non-banking NII

$mn	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	Preview q/q	Preview y/y
Statutory P&L								
Revenue	16,473	17,788	16,365	18,624	19,118	19,233	1%	8%
Costs	(8,920)	(10,076)	(9,330)	(8,721)	(8,705)	(8,917)	2%	(11%)
Pre-Provision Profit	7,553	7,712	7,035	9,903	10,413	10,316	(1%)	34%
Impairments	(1,065)	(1,008)	(901)	(1,301)	(1,052)	(1,032)	(2%)	2%
Operating profit	6,488	6,704	6,134	8,602	9,361	9,284	(1%)	38%
Associates	(162)	591	669	774	785	680	(13%)	15%
PBT - Statutory	6,326	7,295	6,803	9,376	10,146	9,965	(2%)	37%
Tax Expense	(1,455)	(1,792)	(1,615)	(1,982)	(2,219)	(2,258)	2%	26%
Profit After Tax	4,871	5,503	5,188	7,394	7,927	7,707	(3%)	40%
Non-Controlling interests	(138)	(219)	(243)	(49)	(13)	(69)	431%	(68%)
Other	(155)	(411)	(225)	(407)	(226)	(411)	82%	-
Net Income to Ordinary Shareholders	4,578	4,873	4,720	6,938	7,688	7,227	(6%)	48%
Underlying P&L								
Banking NII	**10,714**	**11,049**	**11,722**	**11,253**	**11,643**	**11,991**	**3%**	**9%**
Non banking NII	**6,943**	**6,851**	**6,002**	**7,872**	**7,400**	**7,242**	**(2%)**	**6%**
Revenue	**17,657**	**17,900**	**17,724**	**19,125**	**19,043**	**19,233**	**1%**	**7%**
Costs	(8,268)	(8,374)	(8,902)	(8,549)	(8,452)	(8,480)	0%	1%
Pre-Provision Profit	9,389	9,526	8,822	10,576	10,591	10,753	2%	13%
Impairments	(1,065)	(1,008)	(901)	(1,301)	(1,052)	(1,032)	(2%)	2%
Operating profit	8,324	8,518	7,921	9,275	9,539	9,722	2%	14%
Associates	(162)	591	669	774	785	680	(13%)	15%
PBT - Underlying	8,162	9,109	8,590	10,049	10,324	10,402	1%	14%
Key Ratios & Metrics								
RWAs	$887bn	$879bn	$889bn	$884bn	$906bn	$925bn	2%	5%
CET1 ratio	14.6%	14.5%	14.9%	14.0%	14.1%	13.9%	(0.2%)	(0.6%)
Credit cost	0.44%	0.41%	0.37%	0.52%	0.42%	0.40%	-2.49635	-1.96295
Underlying ROTE	17.8%	16.7%	16.0%	18.5%	19.4%	18.8%	(0.6%)	2.1%
EPS	0.26	0.28	0.27	0.40	0.44	0.42	(6%)	50%
DPS	0.10	0.10	0.45	0.10	0.10	0.10	-	-
TBVPS	9.17	9.22	9.64	9.46	9.36	9.53	2%	3%

Source: Company data, Goldman Sachs Global Investment Research

知识星球：前沿信息收录
VX:FCCNN88

Exhibit 2: Our underlying PBT are 2% ahead for 3Q26E up to 2% ahead of Visible alpha consensus for 2026-2028E

HSBC	3Q26E				2026E				2027E				2028E			
	GS	VA	%	mn	GS	VA	%	mn	GS	VA	%	mn	GS	VA	%	mn
Banking NII	11,991	11,932	0%	59	47,149	46,972	0%	178	50,897	49,467	3%	1,430	52,758	51,318	3%	1,439
Fees and Other Income	7,242	7,117	2%	126	28,748	28,893	-1%	-145	30,698	30,720	0%	-23	32,649	32,841	-1%	-192
Underlying Revenues	**19,233**	**19,049**	**1%**	**185**	**75,898**	**75,865**	**0%**	**33**	**81,595**	**80,187**	**2%**	**1,408**	**85,407**	**84,159**	**1%**	**1,247**
Significant Revenue Adjustments	0	-33	-100%	33	-426	-622	-32%	196	0	918	-100%	-918	0	-407	-100%	407
Total Revenues	**19,233**	**19,015**	**1%**	**218**	**75,472**	**75,243**	**0%**	**229**	**81,595**	**81,105**	**1%**	**490**	**85,407**	**83,752**	**2%**	**1,655**
Underlying Operating Expenses	**-8,480**	**-8,452**	**0%**	**-28**	**-34,640**	**-34,488**	**0%**	**-153**	**-36,470**	**-35,745**	**2%**	**-725**	**-38,059**	**-36,948**	**3%**	**-1,110**
Significant Cost Adjustments	-438	-332	32%	-106	-1,250	-1,259	-1%	9	-400	-905	-56%	505	-200	-782	-74%	582
Total Operating Expenses	**-8,917**	**-8,784**	**2%**	**-134**	**-35,890**	**-35,746**	**0%**	**-144**	**-36,870**	**-36,650**	**1%**	**-220**	**-38,259**	**-37,730**	**1%**	**-529**
Credit Costs	-1,032	-1,020	1%	-12	-4,355	-4,411	-1%	56	-3,876	-4,053	-4%	177	-3,761	-4,185	-10%	424
Operating Profit - Reported	**9,284**	**9,211**	**1%**	**73**	**35,227**	**35,085**	**0%**	**141**	**40,848**	**40,402**	**1%**	**446**	**43,387**	**41,837**	**4%**	**1,550**
Operating Profit - Underlying	**9,722**	**9,576**	**2%**	**145**	**36,903**	**36,966**	**0%**	**-63**	**41,248**	**40,389**	**2%**	**859**	**43,587**	**43,027**	**1%**	**561**
P/L from Associates and JV	680	587	16%	94	2,943	2,622	12%	321	2,984	3,012	-1%	-28	3,044	2,833	7%	211
PBT - Reported	**9,965**	**9,798**	**2%**	**166**	**38,170**	**37,707**	**1%**	**462**	**43,833**	**43,415**	**1%**	**418**	**46,432**	**44,670**	**4%**	**1,761**
PBT - Underlying	**10,402**	**10,163**	**2%**	**239**	**39,846**	**39,588**	**1%**	**257**	**44,233**	**43,402**	**2%**	**831**	**46,632**	**45,859**	**2%**	**772**
Income Taxes	-2,258	-2,069	9%	-189	-8,426	-8,115	4%	-311	-9,643	-9,117	6%	-526	-10,215	-9,521	7%	-694
PAT - Reported	**7,707**	**7,730**	**0%**	**-23**	**29,744**	**29,593**	**1%**	**151**	**34,190**	**34,298**	**0%**	**-108**	**36,217**	**35,150**	**3%**	**1,067**
Minorities	-69	-35	95%	-34	-224	-118	90%	-106	-228	-105	117%	-123	-233	-109	115%	-124
Net Income - Reported	**7,638**	**7,694**	**-1%**	**-56**	**29,520**	**29,475**	**0%**	**45**	**33,961**	**34,192**	**-1%**	**-231**	**35,984**	**35,041**	**3%**	**943**
Preferred Stock	-411	-441	-7%	30	-1,269	-1,324	-4%	55	-1,269	-1,345	-6%	76	-1,269	-1,354	-6%	85
Ordinary Net Income - Reported	**7,227**	**7,253**	**0%**	**-26**	**28,251**	**28,151**	**0%**	**99**	**32,692**	**32,847**	**0%**	**-155**	**34,715**	**33,687**	**3%**	**1,028**
Per Share Data																
EPS - Basic	0.42	0.42	-1%	0.00	1.65	1.67	-1%	-0.02	1.91	1.98	-4%	-0.07	2.06	2.08	-1%	-0.02
DPS - Declared	0.10	0.10	0%	0.00	0.84	0.84	1%	0.01	0.97	0.95	2%	0.02	1.03	1.04	0%	-0.01
Capital (bn)																
CET1 Capital	129	130	-1%	-1	131	133	-2%	-2	139	141	-1%	-2	147	148	-1%	-2
RWAs	925	915	1%	10	934	917	2%	17	979	957	2%	22	1,020	996	2%	24
CET1 Ratio	13.9%	14.2%	-32 bps	-	14.0%	14.5%	-50 bps	-	14.2%	14.7%	-53 bps	-	14.4%	14.9%	-50 bps	-
Balance Sheet (bn)																
Total Assets	3,464	3,448	0%	17	3,493	3,444	1%	49	3,604	3,545	2%	59	3,700	3,656	1%	44
Total Equity	200	201	-1%	-2	204	203	0%	0	216	214	1%	2	225	222	1%	3
Tangible Equity	164	165	-1%	-2	168	167	0%	1	180	176	2%	4	189	183	3%	5
Loans	1,037	1,031	1%	6	1,047	1,035	1%	13	1,096	1,077	2%	20	1,141	1,120	2%	21
Deposits	1,851	1,838	1%	13	1,876	1,846	2%	29	1,975	1,920	3%	55	2,061	1,994	3%	68
Ratios																
Net Interest Margin				-	4.52%	4.55%	-2 bps	-	4.75%	4.69%	6 bps	-	4.72%	4.67%	4 bps	-
CIR - Reported	46%	46%	0.2 pp	-	47.6%	47.5%	0.0 pp	-	45.2%	45.2%	0.0 pp	-	44.8%	45.0%	-0.3 pp	-
CIR - Underlying	44%	44%	-0.3 pp	-	45.6%	45.5%	0.2 pp	-	44.7%	44.6%	0.1 pp	-	44.6%	43.9%	0.7 pp	-
Cost of Risk				-	42 bps	43 bps	-1 bps	-	36 bps	38 bps	-2 bps	-	34 bps	38 bps	-4 bps	-
Effective Tax Rate - Reported	23%	21%	1.5 pp	-	22%	22%	0.6 pp	-	22%	21%	1.0 pp	-	22%	21%	0.7 pp	-
ROTE (post AT1)				-	17.1%	16.9%	0.1 pp	-	18.8%	19.2%	-0.3 pp	-	18.9%	18.7%	0.1 pp	-
Loans / Deposits	56%	56%	-0.1 pp	-	56%	56%	-0.2 pp	-	56%	56%	-0.5 pp	-	55%	56%	-0.8 pp	-

Source: Company data, Goldman Sachs Global Investment Research, Visible Alpha Consensus Data

Exhibit 3: We made changes to our NII forecast baking in higher rates offset and higher loan growth by higher opex

Prior vs Revised

(US$mn)	FY2026E		FY2027E		FY2028E		FY2029E		FY2030E	FY2031E	% change			
	Old	New	Old	New	Old	New	Old	New	New	New	2026E	2027E	2028E	2029E
Group - Underlying basis														
Banking NII	47,023	47,149	50,415	50,897	52,242	52,758	53,691	54,319	56,317	58,185	0.3	1.0	1.0	1.2
Non-NII	28,816	28,748	30,774	30,698	32,735	32,649	34,603	34,509	36,157	37,504	-0.2	-0.2	-0.3	-0.3
Revenue	75,838	75,898	81,190	81,595	84,977	85,407	88,294	88,828	92,474	95,689	0.1	0.5	0.5	0.6
Operating expenses	(34,640)	(34,640)	(36,197)	(36,470)	(37,287)	(38,059)	(38,411)	(39,279)	(40,537)	(41,834)	0.0	0.8	2.1	2.3
PPP	41,198	41,257	44,993	45,124	47,689	47,348	49,884	49,549	51,938	53,855	0.1	0.3	-0.7	-0.7
Provision	(4,335)	(4,355)	(3,871)	(3,876)	(3,759)	(3,761)	(3,796)	(3,797)	(3,930)	(4,066)	0.4	0.1	0.1	0.0
Operating profit	36,863	36,903	41,122	41,248	43,931	43,587	46,087	45,751	48,008	49,789	0.1	0.3	-0.8	-0.7
Pre-tax profits	39,896	39,846	44,198	44,233	47,069	46,632	49,288	48,856	51,175	53,020	-0.1	0.1	-0.9	-0.9
Group - Reported basis														
Revenue	75,412	75,472	81,190	81,595	84,977	85,407	88,294	88,828	92,474	95,689	0.1	0.5	0.5	0.6
Operating expenses	(35,840)	(35,890)	(36,397)	(36,870)	(37,487)	(38,259)	(38,411)	(39,279)	(40,537)	(41,834)	0.1	1.3	2.1	2.3
PPP	39,572	39,581	44,793	44,724	47,489	47,148	49,884	49,549	51,938	53,855	0.0	-0.2	-0.7	-0.7
Provision	(4,335)	(4,355)	(3,871)	(3,876)	(3,759)	(3,761)	(3,796)	(3,797)	(3,930)	(4,066)	0.4	0.1	0.1	0.0
credit costs (bp)	*43*	*43*	*36*	*36*	*34*	*34*	*33*	*33*	*33*	*33*	0.3	-0.1	-0.2	-0.2
Operating profit	35,237	35,227	40,922	40,848	43,731	43,387	46,087	45,751	48,008	49,789	-0.0	-0.2	-0.8	-0.7
Pre-tax profits	38,270	38,170	43,998	43,833	46,869	46,432	49,288	48,856	51,175	53,020	-0.3	-0.4	-0.9	-0.9
Attributable profit	28,328	28,251	32,532	32,692	34,748	34,715	36,614	36,601	38,405	39,839	-0.3	0.5	-0.1	-0.0
Stated EPS (US$)	**1.65**	**1.65**	**1.91**	**1.91**	**2.07**	**2.06**	**2.23**	**2.21**	**2.38**	**2.54**	**(0.3)**	**0.1**	**(0.7)**	**(0.7)**
Underlying EPS (US$)	**1.69**	**1.69**	**1.92**	**1.93**	**2.08**	**2.07**	**2.23**	**2.21**	**2.38**	**2.54**	**(0.3)**	**0.6**	**(0.7)**	**(0.7)**
DPS (US$)	**0.85**	**0.84**	**0.96**	**0.97**	**1.04**	**1.03**	**1.11**	**1.11**	**1.19**	**1.27**	**(0.3)**	**0.6**	**(0.7)**	**(0.7)**

Source: Goldman Sachs Global Investment Research

知识星球：前沿信息收录
更多一手投研资料扫码加微信
知识星球：前沿信息收录
VX:FCCNN88

Disclosure Appendix

Reg AC

We, Melissa Kuang, CFA, Chris Hallam, Benjamin Caven-Roberts, Sachin Nayar and Wayne Wang, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

Unless otherwise stated, the individuals listed on the cover page of this report are analysts in Goldman Sachs' Global Investment Research division.

Contributing Authors: Melissa Kuang, CFA Goldman Sachs (Singapore) Pte, Chris Hallam Goldman Sachs International, Benjamin Caven-Roberts Goldman Sachs International, Sachin Nayar Goldman Sachs International, Wayne Wang Goldman Sachs (Singapore) Pte.

Unless otherwise stated, the individuals listed in the Contributing Authors disclosure of this report are analysts in Goldman Sachs' Global Investment Research division.

GS Factor Profile

The Goldman Sachs Factor Profile provides investment context for a stock by comparing key attributes to the market (i.e. our universe of rated stocks) and its sector peers. The four key attributes depicted are: Growth, Financial Returns, Multiple (e.g. valuation) and Integrated (a composite of Growth, Financial Returns and Multiple). Growth, Financial Returns and Multiple are calculated by using normalized ranks for specific metrics for each stock. The normalized ranks for the metrics are then averaged and converted into percentiles for the relevant attribute. The precise calculation of each metric may vary depending on the fiscal year, industry and region, but the standard approach is as follows:

Growth is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

Financial Returns and Multiple use the Goldman Sachs analyst forecasts at the fiscal year-end at least three quarters in the future. Growth uses inputs for the fiscal year at least seven quarters in the future compared with the year at least three quarters in the future (on a per-share basis for all metrics).

For a more detailed description of how we calculate the GS Factor Profile, please contact your GS representative.

M&A Rank

Across our global coverage, we examine stocks using an M&A framework, considering both qualitative factors and quantitative factors (which may vary across sectors and regions) to incorporate the potential that certain companies could be acquired. We then assign a M&A rank as a means of scoring companies under our rated coverage from 1 to 3, with 1 representing high (30%-50%) probability of the company becoming an acquisition target, 2 representing medium (15%-30%) probability and 3 representing low (0%-15%) probability. For companies ranked 1 or 2, in line with our standard departmental guidelines we incorporate an M&A component into our target price. M&A rank of 3 is considered immaterial and therefore does not factor into our price target, and may or may not be discussed in research.

Quantum

Quantum is Goldman Sachs' proprietary database providing access to detailed financial statement histories, forecasts and ratios. It can be used for in-depth analysis of a single company, or to make comparisons between companies in different sectors and markets.

Disclosures

The rating(s) for HSBC Holdings is/are relative to the other companies in its/their coverage universe: BDO Unibank, BOC Hong Kong (Holdings), Bangkok Bank, Bank Central Asia, Bank Mandiri, Bank Negara Indonesia, Bank Rakyat Indonesia, Bank of East Asia, Bank of Philippine Islands, DBS Group, HSBC Holdings, Kasikornbank, Krung Thai Bank, Oversea-Chinese Banking Corp., SCB X PCL, Standard Chartered Bank, TMBThanachart Bank PCL, United Overseas Bank

The rating(s) for HSBC is/are relative to the other companies in its/their coverage universe: ABN Amro Bank, AIB Group, Alpha Bank, BBVA, BNP Paribas, BPER Banca, Banco Comercial Portugues, Banco Santander, Banco de Sabadell SA, Bank of Ireland Group, Bankinter, Barclays Plc, CaixaBank SA, Credit Agricole SA, DNB, Danske Bank, Deutsche Bank, Erste Group, Eurobank SA, HSBC, ING Groep NV, Intesa Sanpaolo, Julius Baer Group, KBC Group, Lloyds Banking Group, NOBA Bank Group, National Bank of Greece, Natwest Group, Nordea, Piraeus Bank SA, SEB, Shawbrook Group, Societe Generale, Standard Chartered, Svenska Handelsbanken, Swedbank, UBS Group, Unicaja Banco SA

Company-specific regulatory disclosures

The following disclosures relate to relationships between The Goldman Sachs Group, Inc. (with its affiliates, "Goldman Sachs") and companies covered by Goldman Sachs Global Investment Research and referred to in this research.

Goldman Sachs has received compensation for investment banking services in the past 12 months: HSBC (1,380.6p), HSBC (ADR) ($92.61) and HSBC Holdings (HK$145.20)

Goldman Sachs expects to receive or intends to seek compensation for investment banking services in the next 3 months: HSBC (1,380.6p), HSBC (ADR) ($92.61) and HSBC Holdings (HK$145.20)

Goldman Sachs has received compensation for non-investment banking services during the past 12 months: HSBC (1,380.6p), HSBC (ADR) ($92.61) and HSBC Holdings (HK$145.20)

Goldman Sachs had an investment banking services client relationship during the past 12 months with: HSBC (1,380.6p), HSBC (ADR) ($92.61) and HSBC Holdings (HK$145.20)

Goldman Sachs had a non-investment banking securities-related services client relationship during the past 12 months with: HSBC (1,380.6p), HSBC (ADR) ($92.61) and HSBC Holdings (HK$145.20)

Goldman Sachs had a non-securities services client relationship during the past 12 months with: HSBC (1,380.6p), HSBC (ADR) ($92.61) and HSBC Holdings (HK$145.20)

知识星球：前沿信息收录
VX:FCCNN88

Goldman Sachs has managed or co-managed a public or Rule 144A offering in the past 12 months: HSBC (1,380.6p), HSBC (ADR) ($92.61) and HSBC Holdings (HK$145.20)

Goldman Sachs is a registered market maker in the securities or derivatives thereof: HSBC (1,380.6p), HSBC (ADR) ($92.61) and HSBC Holdings (HK$145.20)

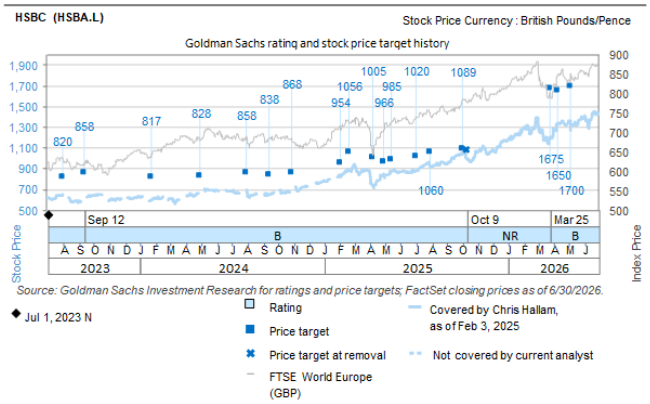
Distribution of ratings/investment banking relationships

Goldman Sachs Investment Research global Equity coverage universe

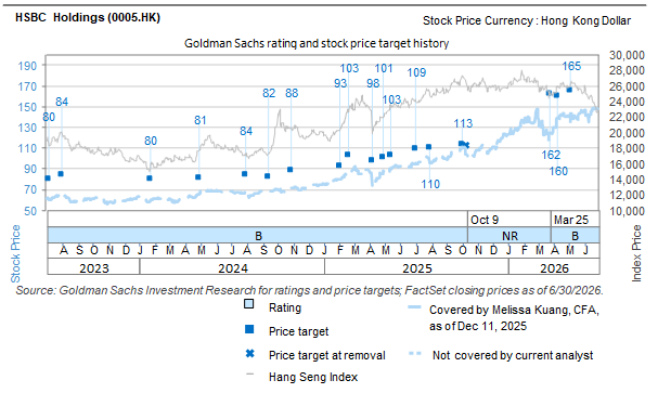
	Rating Distribution			Investment Banking Relationships		
	Buy	Hold	Sell	Buy	Hold	Sell
Global	50%	34%	16%	65%	59%	43%

As of July 1, 2026, Goldman Sachs Global Investment Research had investment ratings on 3,104 equity securities. Goldman Sachs assigns stocks as Buys and Sells on various regional Investment Lists; stocks not so assigned are deemed Neutral. Such assignments equate to Buy, Hold and Sell for the purposes of the above disclosure required by the FINRA Rules. See 'Ratings, Coverage universe and related definitions' below. The Investment Banking Relationships chart reflects the percentage of subject companies within each rating category for whom Goldman Sachs has provided investment banking services within the previous twelve months.

Price target and rating history chart(s)



The price targets shown should be considered in the context of all prior published Goldman Sachs research, which may or may not have included price targets, as well as developments relating to the company, its industry and financial markets.



The price targets shown should be considered in the context of all prior published Goldman Sachs research, which may or may not have included price targets, as well as developments relating to the company, its industry and financial markets.

Target price history table(s)

HSBC (HSBA.L)

Date of report	Target price (£)	Closing price (£)
04-Aug-26	1,860	1,584.6
17-Jul-26	1,725	1,492.2
05-May-26	1,700	1,279.8
10-Apr-26	1,650	1,340.2
25-Mar-26	1,675	1,211.4
03-Oct-25	1,089	1,061.8
30-Jul-25	1,060	926
02-Jul-25	1,020	885.3
13-May-25	985	876.1
29-Apr-25	966	855.6
07-Apr-25	1,005	737.8
19-Feb-25	1,056	895.4
02-Feb-25	954	845.7
29-Oct-24	868	713.7
14-Sep-24	838	658.7
31-Jul-24	858	704
30-Apr-24	828	695.6
23-Jan-24	817	598.8

HSBC Holdings (0005.HK)

Date of report	Target price (HK$)	Closing price (HK$)
04-Aug-26	193.00	166.50
17-Jul-26	181.00	156.90
05-May-26	165.00	136.00
10-Apr-26	160.00	139.70
25-Mar-26	162.00	125.00
03-Oct-25	113.00	109.90
30-Jul-25	110.00	96.95
02-Jul-25	109.00	95.25
13-May-25	103.00	89.65
29-Apr-25	101.00	88.35
07-Apr-25	98.00	73.40
19-Feb-25	103.00	88.40
02-Feb-25	93.00	79.95
29-Oct-24	88.00	71.60
14-Sep-24	82.00	67.30
31-Jul-24	84.00	69.95
30-Apr-24	81.00	67.00
23-Jan-24	80.00	59.20

Price targets shown in table(s) are unadjusted for corporate actions.

Regulatory disclosures

Disclosures required by United States laws and regulations

mpany-specific regulatory disclosures above for any of the following disclosures required as to companies referred to in this report: manager or

知识星球：前沿信息收录
更多一手投研资料扫码加微信
知识星球：前沿信息收录
VX:FCCNN88

co-manager in a pending transaction; 1% or other ownership; compensation for certain services; types of client relationships; managed/co-managed public offerings in prior periods; directorships; registered market maker. Goldman Sachs trades or may trade as a principal in debt securities (or in related derivatives) of issuers discussed in this report.

The following are additional required disclosures: **Ownership and material conflicts of interest:** Goldman Sachs policy prohibits its analysts, professionals reporting to analysts and members of their households from owning securities of any company in the analyst's area of coverage. **Analyst compensation:** Analysts are paid in part based on the profitability of Goldman Sachs, which includes investment banking revenues. **Analyst as officer or director:** Goldman Sachs policy generally prohibits its analysts, persons reporting to analysts or members of their households from serving as an officer, director or advisor of any company in the analyst's area of coverage. **Non-U.S. Analysts:** Non-U.S. analysts may not be associated persons of Goldman Sachs & Co. LLC and therefore may not be subject to FINRA Rule 2241 or FINRA Rule 2242 restrictions on communications with a subject company, public appearances and trading in securities covered by the analysts.

Additional disclosures required under the laws and regulations of jurisdictions other than the United States

The following disclosures are those required by the jurisdiction indicated, except to the extent already made above pursuant to United States laws and regulations. **Australia:** Goldman Sachs Australia Pty Ltd and its affiliates are not authorised deposit-taking institutions (as that term is defined in the Banking Act 1959 (Cth)) in Australia and do not provide banking services, nor carry on a banking business, in Australia. This research, and any access to it, is intended only for "wholesale clients" within the meaning of the Australian Corporations Act, unless otherwise agreed by Goldman Sachs. In producing research reports, members of Global Investment Research of Goldman Sachs Australia may attend site visits and other meetings hosted by the companies and other entities which are the subject of its research reports. In some instances the costs of such site visits or meetings may be met in part or in whole by the issuers concerned if Goldman Sachs Australia considers it is appropriate and reasonable in the specific circumstances relating to the site visit or meeting. To the extent that the contents of this document contains any financial product advice, it is general advice only and has been prepared by Goldman Sachs without taking into account a client's objectives, financial situation or needs. A client should, before acting on any such advice, consider the appropriateness of the advice having regard to the client's own objectives, financial situation and needs. A copy of certain Goldman Sachs Australia and New Zealand disclosure of interests and a copy of Goldman Sachs' Australian Sell-Side Research Independence Policy Statement are available at: https://www.goldmansachs.com/disclosures/australia-new-zealand/index.html. **Brazil:** Disclosure information in relation to CVM Resolution n. 20 is available at https://www.gs.com/worldwide/brazil/area/gir/index.html. Where applicable, the Brazil-registered analyst primarily responsible for the content of this research report, as defined in Article 20 of CVM Resolution n. 20, is the first author named at the beginning of this report, unless indicated otherwise at the end of the text. **Canada:** This information is being provided to you for information purposes only and is not, and under no circumstances should be construed as, an advertisement, offering or solicitation by Goldman Sachs & Co. LLC for purchasers of securities in Canada to trade in any Canadian security. Goldman Sachs & Co. LLC is not registered as a dealer in any jurisdiction in Canada under applicable Canadian securities laws and generally is not permitted to trade in Canadian securities and may be prohibited from selling certain securities and products in certain jurisdictions in Canada. If you wish to trade in any Canadian securities or other products in Canada please contact Goldman Sachs Canada Inc., an affiliate of The Goldman Sachs Group Inc., or another registered Canadian dealer. **Hong Kong:** Further information on the securities of covered companies referred to in this research may be obtained on request from Goldman Sachs (Asia) L.L.C. **India:** Further information on the subject company or companies referred to in this research may be obtained from Goldman Sachs (India) Securities Private Limited, Research Analyst - SEBI Registration Number INH000001493, 10th Floor, Ascent-Worli, Sudam Kalu Ahire Marg, Worli, Mumbai-400 025, India, Corporate Identity Number U74140MH2006FTC160634, Phone +91 22 6616 9000, Fax +91 22 6616 9001. Goldman Sachs may beneficially own 1% or more of the securities (as such term is defined in clause 2 (h) the Indian Securities Contracts (Regulation) Act, 1956) of the subject company or companies referred to in this research report. Registration granted by SEBI and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Goldman Sachs (India) Securities Private Limited compliance officer and investor grievance contact details, a copy of the annual compliance audit report and other relevant information and disclosures can be found at this link: https://www.goldmansachs.com/worldwide/india/research-analyst. **Japan:** See below. **Korea:** This research, and any access to it, is intended only for "professional investors" within the meaning of the Financial Services and Capital Markets Act, unless otherwise agreed by Goldman Sachs. Further information on the subject company or companies referred to in this research may be obtained from Goldman Sachs (Asia) L.L.C., Seoul Branch. **New Zealand:** Goldman Sachs New Zealand Limited and its affiliates are neither "registered banks" nor "deposit takers" (as defined in the Reserve Bank of New Zealand Act 1989) in New Zealand. This research, and any access to it, is intended for "wholesale clients" (as defined in the Financial Advisers Act 2008) unless otherwise agreed by Goldman Sachs. A copy of certain Goldman Sachs Australia and New Zealand disclosure of interests is available at: https://www.goldmansachs.com/disclosures/australia-new-zealand/index.html. **Russia:** Research reports distributed in the Russian Federation are not advertising as defined in the Russian legislation, but are information and analysis not having product promotion as their main purpose and do not provide appraisal within the meaning of the Russian legislation on appraisal activity. Research reports do not constitute a personalized investment recommendation as defined in Russian laws and regulations, are not addressed to a specific client, and are prepared without analyzing the financial circumstances, investment profiles or risk profiles of clients. Goldman Sachs assumes no responsibility for any investment decisions that may be taken by a client or any other person based on this research report. **Singapore:** Goldman Sachs (Singapore) Pte. (Company Number: 198602165W), which is regulated by the Monetary Authority of Singapore, accepts legal responsibility for this research, and should be contacted with respect to any matters arising from, or in connection with, this research. **Taiwan:** This material is for reference only and must not be reprinted without permission. Investors should carefully consider their own investment risk. Investment results are the responsibility of the individual investor. **United Kingdom:** Persons who would be categorized as retail clients in the United Kingdom, as such term is defined in the rules of the Financial Conduct Authority, should read this research in conjunction with prior Goldman Sachs research on the covered companies referred to herein and should refer to the risk warnings that have been sent to them by Goldman Sachs International. A copy of these risks warnings, and a glossary of certain financial terms used in this report, are available from Goldman Sachs International on request.

European Union and United Kingdom: Disclosure information in relation to Article 6 (2) of the European Commission Delegated Regulation (EU) (2016/958) supplementing Regulation (EU) No 596/2014 of the European Parliament and of the Council (including as that Delegated Regulation is implemented into United Kingdom domestic law and regulation following the United Kingdom's departure from the European Union and the European Economic Area) with regard to regulatory technical standards for the technical arrangements for objective presentation of investment recommendations or other information recommending or suggesting an investment strategy and for disclosure of particular interests or indications of conflicts of interest is available at https://www.gs.com/disclosures/europeanpolicy.html which states the European Policy for Managing Conflicts of Interest in Connection with Investment Research.

Japan: Goldman Sachs Japan Co., Ltd. is a Financial Instrument Dealer registered with the Kanto Financial Bureau under registration number Kinsho 69, and a member of Japan Securities Dealers Association, Financial Futures Association of Japan Type II Financial Instruments Firms Association, and Investment Management Association of Japan. Sales and purchase of equities are subject to commission pre-determined with clients plus consumption tax. See company-specific disclosures as to any applicable disclosures required by Japanese stock exchanges, the Japanese Securities Dealers Association or the Japanese Securities Finance Company.

Ratings, coverage universe and related definitions

Buy (B), Neutral (N), Sell (S) Analysts recommend stocks as Buys or Sells for inclusion on various regional Investment Lists. Being assigned a Buy or Sell on an Investment List is determined by a stock's total return potential relative to its coverage universe. Any stock not assigned as a Buy or a Sell on an Investment List with an active rating (i.e., a stock that is not Rating Suspended, Not Rated, Early-Stage Biotech, Coverage Suspended or Not Covered), is deemed Neutral. Each region manages Regional Conviction Lists, which are selected from Buy rated stocks on the respective region's Investment Lists

知识星球：前沿信息收录
VX:FCCNN88

and represent investment recommendations focused on the size of the total return potential and/or the likelihood of the realization of the return across their respective areas of coverage. The addition or removal of stocks from such Conviction Lists are managed by the Investment Review Committee or other designated committee in each respective region and do not represent a change in the analysts' investment rating for such stocks.

Total return potential represents the upside or downside differential between the current share price and the price target, including all paid or anticipated dividends, expected during the time horizon associated with the price target. Price targets are required for all covered stocks. The total return potential, price target and associated time horizon are stated in each report adding or reiterating an Investment List membership.

Coverage Universe: A list of all stocks in each coverage universe is available by primary analyst, stock and coverage universe at https://www.gs.com/research/hedge.html.

Not Rated (NR). The investment rating, target price and earnings estimates (where relevant) are removed pursuant to Goldman Sachs policy when Goldman Sachs is acting in an advisory capacity in a merger or in a strategic transaction involving this company, when there are legal, regulatory or policy constraints due to Goldman Sachs' involvement in a transaction, and in certain other circumstances. **Early-Stage Biotech (ES).** An investment rating and a target price are not assigned pursuant to Goldman Sachs policy when this company has neither a drug, treatment or medical device that has passed a Phase II clinical trial nor a license to distribute a post-Phase II drug, treatment or medical device. **Rating Suspended (RS).** Goldman Sachs Research has suspended the investment rating and price target for this stock, because there is not a sufficient fundamental basis for determining an investment rating or target price. The previous investment rating and target price, if any, are no longer in effect for this stock and should not be relied upon. **Coverage Suspended (CS).** Goldman Sachs has suspended coverage of this company. **Not Covered (NC).** Goldman Sachs does not cover this company.

Global product; distributing entities

Goldman Sachs Global Investment Research produces and distributes research products for clients of Goldman Sachs on a global basis. Analysts based in Goldman Sachs offices around the world produce research on industries and companies, and research on macroeconomics, currencies, commodities and portfolio strategy. This research is disseminated in Australia by Goldman Sachs Australia Pty Ltd (ABN 21 006 797 897); in Brazil by Goldman Sachs do Brasil Corretora de Títulos e Valores Mobiliários S.A.; Public Communication Channel Goldman Sachs Brazil: 0800 727 5764 and / or contatogoldmanbrasil@gs.com. Available Weekdays (except holidays), from 9am to 6pm. Canal de Comunicação com o Público Goldman Sachs Brasil: 0800 727 5764 e/ou contatogoldmanbrasil@gs.com. Horário de funcionamento: segunda-feira à sexta-feira (exceto feriados), das 9h às 18h; in Canada by Goldman Sachs & Co. LLC; in Hong Kong by Goldman Sachs (Asia) L.L.C.; in India by Goldman Sachs (India) Securities Private Ltd.; in Japan by Goldman Sachs Japan Co., Ltd.; in the Republic of Korea by Goldman Sachs (Asia) L.L.C., Seoul Branch; in New Zealand by Goldman Sachs New Zealand Limited; in Russia by OOO Goldman Sachs; in Singapore by Goldman Sachs (Singapore) Pte. (Company Number: 198602165W); and in the United States of America by Goldman Sachs & Co. LLC. Goldman Sachs International has approved this research in connection with its distribution in the United Kingdom.

Goldman Sachs International ("GSI"), authorised by the Prudential Regulation Authority ("PRA") and regulated by the Financial Conduct Authority ("FCA") and the PRA, has approved this research in connection with its distribution in the United Kingdom.

European Economic Area: Goldman Sachs Bank Europe SE ("GSBE") is a credit institution incorporated in Germany and, within the Single Supervisory Mechanism, subject to direct prudential supervision by the European Central Bank and in other respects supervised by German Federal Financial Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht, BaFin) and Deutsche Bundesbank and disseminates research within the European Economic Area.

General disclosures

This research is for our clients only. Other than disclosures relating to Goldman Sachs, this research is based on current public information that we consider reliable, but we do not represent it is accurate or complete, and it should not be relied on as such. The information, opinions, estimates and forecasts contained herein are as of the date hereof and are subject to change without prior notification. We seek to update our research as appropriate, but various regulations may prevent us from doing so. Other than certain industry reports published on a periodic basis, the large majority of reports are published at irregular intervals as appropriate in the analyst's judgment.

Goldman Sachs conducts a global full-service, integrated investment banking, investment management, and brokerage business. We have investment banking and other business relationships with a substantial percentage of the companies covered by Global Investment Research. Goldman Sachs & Co. LLC, the United States broker dealer, is a member of SIPC (https://www.sipc.org).

Our salespeople, traders, and other professionals may provide oral or written market commentary or trading strategies to our clients and principal trading desks that reflect opinions that are contrary to the opinions expressed in this research. Our asset management area, principal trading desks and investing businesses may make investment decisions that are inconsistent with the recommendations or views expressed in this research.

The analysts named in this report may have from time to time discussed with our clients, including Goldman Sachs salespersons and traders, or may discuss in this report, trading strategies that reference catalysts or events that may have a near-term impact on the market price of the equity securities discussed in this report, which impact may be directionally counter to the analyst's published price target expectations for such stocks. Any such trading strategies are distinct from and do not affect the analyst's fundamental equity rating for such stocks, which rating reflects a stock's return potential relative to its coverage universe as described herein.

We and our affiliates, officers, directors, and employees will from time to time have long or short positions in, act as principal in, make a market or act as liquidity provider in, and buy or sell, any securities, derivatives, or other financial instruments referred to in this research (including any financial instruments issued by the companies referred to herein), unless otherwise prohibited by regulation or Goldman Sachs policy.

The views attributed to third party presenters at Goldman Sachs arranged conferences, including individuals from other parts of Goldman Sachs, do not necessarily reflect those of Global Investment Research and are not an official view of Goldman Sachs.

Any third party referenced herein, including any salespeople, traders and other professionals or members of their household, may have positions in the products mentioned that are inconsistent with the views expressed by analysts named in this report.

This research is not an offer to sell or the solicitation of an offer to buy any security in any jurisdiction where such an offer or solicitation would be illegal. It does not constitute a personal recommendation or take into account the particular investment objectives, financial situations, or needs of individual clients. Clients should consider whether any advice or recommendation in this research is suitable for their particular circumstances and, if appropriate, seek professional advice, including tax advice. The price and value of investments referred to in this research and the income from them may fluctuate. Past performance is not a guide to future performance, future returns are not guaranteed, and a loss of original capital may occur. Fluctuations in exchange rates could have adverse effects on the value or price of, or income derived from, certain investments.

Certain transactions, including those involving futures, options, and other derivatives, give rise to substantial risk and are not suitable for all investors. Investors should review current options and futures disclosure documents which are available from Goldman Sachs sales representatives or at https://www.theocc.com/about/publications/character-risks.jsp and https://www.goldmansachs.com/disclosures/cftc_fcm_disclosures. Transaction

知识星球：前沿信息收录
更多一手投研资料扫码加微信
知识星球：前沿信息收录
VX:FCCNN88

costs may be significant in option strategies calling for multiple purchase and sales of options such as spreads. Supporting documentation will be supplied upon request.

Differing Levels of Service provided by Global Investment Research: The level and types of services provided to you by Goldman Sachs Global Investment Research may vary as compared to that provided to internal and other external clients of GS, depending on various factors including your individual preferences as to the frequency and manner of receiving communication, your risk profile and investment focus and perspective (e.g., marketwide, sector specific, long term, short term), the size and scope of your overall client relationship with GS, and legal and regulatory constraints. As an example, certain clients may request to receive notifications when research on specific securities is published, and certain clients may request that specific data underlying analysts' fundamental analysis available on our internal client websites be delivered to them electronically through data feeds or otherwise. No change to an analyst's fundamental research views (e.g., ratings, price targets, or material changes to earnings estimates for equity securities), will be communicated to any client prior to inclusion of such information in a research report broadly disseminated through electronic publication to our internal client websites or through other means, as necessary, to all clients who are entitled to receive such reports.

All research reports are disseminated and available to all clients simultaneously through electronic publication to our internal client websites. Not all research content is redistributed to our clients or available to third-party aggregators, nor is Goldman Sachs responsible for the redistribution of our research by third party aggregators. For research, models or other data related to one or more securities, markets or asset classes (including related services) that may be available to you, please contact your GS representative or go to https://research.gs.com.

Disclosure information is also available at https://www.gs.com/research/hedge.html or from Research Compliance, 200 West Street, New York, NY 10282.

© 2026 Goldman Sachs.

You are permitted to store, display, analyze, modify, reformat, and print the information made available to you via this service only for your own use. You may not resell or reverse engineer this information to calculate or develop any index for disclosure and/or marketing or create any other derivative works or commercial product(s), data or offering(s) without the express written consent of Goldman Sachs. You are not permitted to publish, transmit, or otherwise reproduce this information, in whole or in part, in any format to any third party without the express written consent of Goldman Sachs. This foregoing restriction includes, without limitation, using, extracting, downloading or retrieving this information, in whole or in part, to train or finetune a machine learning or artificial intelligence system, or to provide or reproduce this information, in whole or in part, as a prompt or input to any such system.

知识星球：前沿信息收录
VX:FCCNN88